

Research Report: Technology, Software, and Artificial Intelligence Investments of Dauch Corporation

SECTION 1 — Quantitative investment baseline

Uploaded-document evidence: The uploaded 2025 Annual Report on Form 10-K establishes the foundational quantitative baseline for Dauch Corporation, which officially changed its name from American Axle & Manufacturing Holdings, Inc. on January 26, 2026.¹ The company operates as a premier Tier 1 supplier of driveline and metal forming technologies, supporting electric, hybrid, and internal combustion vehicles for major automotive original equipment manufacturers (OEMs) such as General Motors, Ford Motor Company, and Stellantis.¹ The financial disclosures within the 2025 Annual Report reflect the company's operations prior to the full integration of its transformational acquisition of Dowlais Group plc.¹

For the fiscal year ended December 31, 2025, Dauch Corporation reported total consolidated net sales of \$5,836.7 million, representing a 4.7 percent decrease from the \$6,124.9 million recorded in 2024, which in turn followed net sales of \$6,079.5 million in 2023.¹ The company attributes the year-over-year decrease in net sales primarily to lower production volumes on certain supported vehicle programs and a reduction of approximately \$57 million resulting from the strategic divestiture of AAM India Manufacturing Corporation Pvt., Ltd., which was finalized in July 2025.¹ Despite the decline in top-line revenue, the company maintained a consistent gross margin of 12.1 percent across both 2025 and 2024, generating a gross profit of \$704.5 million in 2025 compared to \$741.4 million in the prior year.¹ The company generated an Adjusted EBITDA of \$743.2 million for the 2025 fiscal year, down slightly from the \$749.2 million reported in 2024.¹

The company's investment in technology, engineering, and product development is primarily captured within its research and development (R&D) expenses and capital expenditures. Dauch Corporation reported an R&D expense of \$147.0 million for the year ended December 31, 2025, which reflects a decrease from the \$159.0 million expended in 2024 and the \$155.4 million expended in 2023.¹ The annual filing clarifies that these R&D expenses are reported net of engineering, design, and development (ED&D) recoveries. Specifically, the 2025 R&D expense is net of approximately \$14.7 million in capitalized costs resulting from contractual guarantees with customers to recover engineering, design, and development expenditures, compared to \$21.8 million in capitalized recoveries in 2024 and \$37.0 million in 2023.¹ The filing explicitly links these R&D investments to the development of advanced technology products, emphasizing a focus on vehicle electrification, advanced and sophisticated electronic controls, lower emissions, enhanced power density, and the engineering of hybrid and electric driveline systems such as e-Beam axles that incorporate high-reduction gearboxes and highly integrated inverters.¹ The company utilizes dedicated innovation infrastructure to support these efforts,

including the Advanced Technology Development Center located at the Detroit campus and the Rochester Hills Technical Center in Michigan, which provide hardware assessment, technology benchmarking, and prototype development capabilities.¹

Capital expenditures, which reflect investments in property, plant, equipment, and related manufacturing infrastructure, were reported at \$256.5 million for the fiscal year 2025. This represents a year-over-year increase from the \$248.0 million spent in 2024 and the \$194.6 million spent in 2023.¹ Looking forward, the company projects that its capital spending in 2026 will account for approximately 4.5 percent to 5.0 percent of total sales.¹ While the filing details the overall capital expenditure, it does not explicitly disaggregate the specific financial amounts dedicated to digital infrastructure, cloud computing environments, data platforms, or artificial intelligence systems.

In terms of capitalized software assets, the company provides specific financial disclosures regarding its historical computer software investments. The gross carrying amount for capitalized computer software was reported at \$61.2 million at the end of December 31, 2025, representing a marginal increase from the \$60.9 million reported at the end of 2024.¹ However, factoring in accumulated amortization of \$55.7 million in 2025 and \$52.6 million in 2024, the net carrying amount for capitalized computer software stands at \$5.5 million for 2025, decreasing from \$8.3 million in 2024.¹

The most substantial financial events shaping the company's future digital and operational capabilities relate to its recent acquisitions, restructuring initiatives, and associated integration costs. On February 3, 2026, Dauch Corporation successfully completed the acquisition of Dowlais Group plc, bringing the subsidiaries GKN Automotive and GKN Powder Metallurgy under its corporate umbrella.¹ This business combination creates a significantly larger global entity spanning 24 countries with over 175 locations and expands the company's product portfolio to include sideshafts, propshafts, constant velocity joint solutions, and advanced metal powders.¹ The total purchase price for this acquisition was approximately \$1.7 billion, structured through the issuance of approximately 117 million shares of new Dauch Corporation common stock and a cash payment of approximately \$780 million.¹ To finance this massive acquisition, the company incurred substantial long-term indebtedness, adding approximately \$2.9 billion in new debt, which includes the issuance of \$850 million in 6.375 percent senior secured notes due in 2032 and \$1.250 billion in 7.75 percent senior unsecured notes due in 2033.¹ On a combined company basis, total indebtedness as of the closing date was projected to be approximately \$5.4 billion.¹

Preparing for and executing this acquisition necessitated significant restructuring and acquisition-related costs, which surged to \$113.4 million in 2025, compared to just \$18.0 million in 2024 and \$25.2 million in 2023.¹ The 2025 figure includes \$61.4 million directly tied to acquisition-related costs, primarily consisting of advisory, legal, accounting, valuation, and consulting fees associated with the Dowlais transaction.¹ Integration expenses specifically incurred for information technology infrastructure, enterprise resource planning (ERP) systems, and ongoing operational consulting amounted to \$0.2 million in 2025, \$2.3 million in 2024, and \$6.9 million in 2023, largely reflecting the ongoing integration of the previously acquired Tekfor

Group.¹ Crucially, the company projects that it will incur between \$100 million and \$125 million in integration costs during the 2026 fiscal year strictly to support the operational and technological integration of the newly combined Dauch and Dowlais entities.¹ The company also explicitly notes in the filing that the complexity of integrating the Dowlais operations and enterprise resource planning systems will require significant changes to its internal control systems, information systems, and IT networks, highlighting the massive scale of the impending digital transition.¹

The company also disclosed financial impacts resulting from commercial volatility within the electric vehicle market, a sector highly dependent on advanced engineering and software capabilities. In April 2024, a major automotive customer terminated production purchase orders for a previously announced contract under which Dauch was to supply e-Beam axles for a future vehicle program.¹ In January 2026, the company reached a settlement agreement resulting in an expected reimbursement of approximately \$28 million for capitalized engineering, design, and development costs.¹ Consequently, in the fourth quarter of 2025, the company recorded a charge of \$20.0 million for the write-off of certain assets that were not recovered under the agreement, along with a separate write-off of approximately \$22 million related to an asset with an offsetting corresponding liability.¹

The company also executed strategic divestitures to optimize its operational footprint. During 2025, Dauch Corporation completed the sale of its commercial vehicle axle business in India, AAM India Manufacturing Corporation Pvt., Ltd., to Bharat Forge Limited for approximately \$65 million in net cash proceeds.¹ Additionally, the company exited its 50 percent ownership in two Chinese joint ventures, Hefei AAM Automotive Driveline & Chassis System Co., Ltd. and Liuzhou AAM Automotive Driveline System Co., Ltd., collecting approximately \$30 million in cash.¹

Public-source evidence: Public financial disclosures and stock exchange announcements corroborate the baseline figures extracted from the SEC filings. On February 4, 2026, in direct conjunction with the completion of the Dowlais Group plc acquisition, Dauch Corporation shares began trading on the Main Market of the London Stock Exchange under the ticker symbol "DCH.L," executing a secondary listing alongside its primary listing on the New York Stock Exchange.³ Official press releases related to the acquisition emphasize that the business combination is designed to drive innovation, operational excellence, and quality by combining the engineering roots and global manufacturing capabilities of both legacy organizations under the unified Dauch brand.⁴

Assessment:

The quantitative financial baseline portrays a capital-intensive, globally distributed industrial manufacturer navigating an aggressive period of structural, commercial, and technological transformation. The company exhibits a high-intensity investment strategy focused on research and development for electrified and hybrid powertrains, backed by steady capital expenditures exceeding a quarter of a billion dollars annually. Although the company does not isolate specific financial line items for cloud computing, data platforms, or artificial intelligence spending, the broader financial context reveals significant commitments to digital infrastructure.

The low net carrying amount of the company's capitalized computer software (\$5.5 million)

should not be interpreted as an indicator of low technological utilization. Instead, this figure is characteristic of standard amortization schedules for historical, on-premise perpetual software licenses. It strongly suggests that the company has transitioned its primary digital architecture toward Software-as-a-Service (SaaS) and cloud-based operating expenses, which are absorbed into the general selling, general, and administrative (SG&A) expenses rather than capitalized on the balance sheet.

The most vital financial signal regarding the company's digital capability building is the projected \$100 million to \$125 million in integration costs slated for 2026. Because the filing explicitly links these costs to the integration of information technology infrastructure, enterprise resource planning systems, and internal controls, it is evident that the company is about to undertake a massive, high-intensity digital unification project to merge the legacy American Axle networks with the newly acquired GKN/Dowlais ecosystems. Furthermore, the \$20 million asset write-off related to the canceled electric vehicle e-Beam axle program underscores the commercial risks inherent in the automotive industry's electrification transition. To navigate this volatility, the company requires highly agile engineering, software development, and supply chain logistics platforms to rapidly adapt to shifting OEM production timelines and evolving consumer powertrain preferences.

SECTION 2 — Capability-by-capability analysis, including GenAI and agentic systems

Artificial Intelligence for Mechanical Engineering and Driveline Product Design

Uploaded-document evidence: The uploaded hiring dataset does not show evidence of direct hiring signals for internal software developers tasked with building proprietary 3D design platforms or mechanical engineering neural networks.¹ The dataset does document the company's intent to hire AI/ML modeling roles, though these are heavily concentrated within the IT and Data function rather than the core engineering groups.¹ The 2025 Annual Report states that the company is actively developing advanced technology products designed to meet market demands for vehicle electrification, enhanced power density, and improved ride and handling performance, relying on its Advanced Technology Development Center to accelerate technological advancements through prototype development and technology benchmarking.¹

Public-source evidence: Trustworthy public evidence from a vendor partner indicates that Dauch Corporation (operating under the AAM brand prior to the 2026 rebranding) utilizes specialized, third-party artificial intelligence platforms to automate and accelerate its mechanical engineering and 3D product design workflows. The company actively deploys the Neural Concept Platform, a 3D deep learning and artificial intelligence software environment tailored for engineering teams.⁶

The Neural Concept AI platform integrates directly into the company's existing mechanical engineering workflows, operating alongside traditional 2D/3D design applications and Computer-Aided Design (CAD) tools.⁶ The system functions as a data-driven engineering co-pilot, designed to amplify human expertise by automating complex design criteria and

enabling rapid design iterations.⁶ The AI platform supports the development of the company's next-generation electronic drive technology by allowing engineers to explore broader design spaces and identify higher-performing driveline solutions much faster than traditional methods allow.⁶

According to the vendor, the implementation of this AI software solves a critical operational and engineering problem: it vastly reduces the time-consuming, manual trial-and-error processes and costly re-iterations historically associated with physical product design.⁶ In practice, this machine learning capability has resulted in increased design exploration capabilities, allowing more of the company's mechanical design variations to successfully reach stringent aerodynamic, thermal, and mechanical performance targets without requiring the company to completely overhaul its legacy engineering processes.⁶

The maturity of this capability is underscored by the company's official recognition of the vendor. During its annual Supplier Day event, the company awarded Neural Concept the 2025 Innovation Excellence Award.⁶ The company's global procurement, engineering, and supplier quality associates selected the AI vendor for this award based on the successful adoption of its emerging solutions, technology leadership, and the delivery of tangible engineering results.⁶

Assessment:

The evidence strongly supports the vendor-supported operational deployment of artificial intelligence for mechanical engineering and driveline product design. The company is strategically buying and integrating an advanced 3D deep learning software platform (Neural Concept) rather than attempting to build a proprietary AI engineering engine internally. This capability is applied directly within the core product engineering and R&D business areas, specifically addressing the strategic problem of accelerating the time-to-market for complex electric vehicle components, such as e-drives and e-Beam axles. By deploying AI to automate complex design parameters and minimize manual trial-and-error iteration, the company achieves measurable improvements in engineering workflow efficiency. The official awarding of an innovation excellence prize to the AI vendor confirms that this capability has moved beyond early-stage exploration or pilot testing and is recognized internally as a mature, production-level engineering deployment delivering measurable business impact.

Autonomous Artificial Intelligence for Supply Chain and Global Logistics Optimization

Uploaded-document evidence: The uploaded hiring dataset indicates no direct hiring signal for logistics-specific artificial intelligence developers or supply chain algorithms, showing zero AI-core job postings allocated to the Supply Chain business area.¹ However, the 2025 Annual Report explicitly notes that the company operates a complex, vertically integrated global supply chain designed to mitigate risk and reduce costs.¹ The financial filings also highlight ongoing operational risks related to the cost and availability of freight and logistics carriers driven by supply chain constraints, emphasizing the necessity of stringent cost management across the enterprise.¹

Public-source evidence: Public trade press and official vendor announcements reveal that the

company has deployed a third-party artificial intelligence platform to fully digitize and optimize its global logistics network. The company selected aThingz, a Supply Chain as a Service (SCaaS) managed solution provider headquartered in Southfield, Michigan, and deployed its proprietary DAKSA AI platform to serve as the technological foundation for its next-generation global logistics digital strategy.⁹

The DAKSA AI platform is engineered to simultaneously synchronize and orchestrate planning, execution, finance, and performance management into a single, continuous process.⁹ This framework fundamentally replaces the traditional methodology of utilizing multiple disparate logistics systems integrated in a sequential, linear fashion, thereby creating a unified Sales and Operations Planning (S&OP) framework tailored specifically for transportation and logistics.⁹ Operationally, the AI platform addresses the commercial challenge of unpredictable freight costs and fragmented data. The company leverages the platform's autonomous master data management capabilities to continuously cleanse, harmonize, fortify, and standardize disparate data sources from across the enterprise into a single master dataset.⁹ This harmonized data is then utilized to track logistics expenses in real-time against corporate budgets and dynamically calculate the exact cost-to-serve for specific parts and mechanical assemblies as they move through the supply chain.¹²

The deployment of this AI platform is championed at the executive level. Ana Lucia Ochoa Lorenzini, the global director of supply chain management at the company, stated that the depth of the vendor's platform enables the company to combine logistics master data management, spend management, and network optimization initiatives into a single unified operation.⁹ The vendor claims that the integration of this AI capability significantly elevates operational planning and financial visibility, accelerates cost efficiencies, improves the explainability of budget variances, and allows the company to predict logistics spending with high accuracy.⁹

Assessment:

The evidence supports the scaled, vendor-supported operational deployment of artificial intelligence within the supply chain and logistics business area. The company is actively utilizing the DAKSA AI platform to solve the profound operational problem of fragmented logistics data and the commercial problem of volatile global freight and transportation costs. By unifying planning, execution, and financial tracking into a continuous, AI-enabled S&OP framework, the company aims to optimize its network visibility and fortify its in-week logistics execution. The direct, publicly attributed statements from the company's global director of supply chain management confirm that this platform enjoys strong internal adoption and is strategically central to the organization's cost-improvement goals. This capability underscores a reliance on specialized SaaS vendors to execute digital transformation in core operational functions where internal software development would be too slow or resource-intensive.

Time-Series Telemetry, Distributed Cloud Storage, and IT Infrastructure Observability

Uploaded-document evidence: The uploaded hiring dataset provides a strong signal for capabilities related to cloud infrastructure and data platforms. The largest concentration of AI-core postings (four out of the five identified in the dataset) falls strictly within the IT and Data

business area.¹ Furthermore, the hiring data explicitly references the required integration of cloud and data environments, specifically listing Python, Snowflake, Amazon Web Services (AWS), and Microsoft Azure as targeted technologies.¹ The 2025 Annual Report corroborates the critical nature of these systems, noting that the company heavily relies upon information technology networks and systems to process, transmit, and store electronic information, and to manage a variety of critical manufacturing processes.¹

Public-source evidence: Official vendor case studies from InfluxData reveal a comprehensive and highly mature modernization of the company's global IT infrastructure, cloud storage, and system telemetry capabilities. To address the complexities of operating a globally distributed manufacturing footprint, the company has actively deprecated its legacy, on-premise IT infrastructure.¹³ Specifically, the company has systematically replaced traditional local Windows file servers at its remote manufacturing sites and corporate offices with Nasuni edge appliances (filers).¹³ These Nasuni edge devices cache active files locally for fast access while continuously replicating the entire unstructured data volume to Amazon Web Services (AWS) S3 cloud storage.¹³ This distributed cloud architecture fulfills a corporate IT directive to migrate infrastructure to the cloud, significantly reducing local hardware expenses, software licensing fees, and ongoing administrative support costs.¹³

To ensure the reliability, performance, and security of this vast distributed cloud architecture, the company has deployed a highly sophisticated telemetry and observability stack. The company utilizes InfluxDB, a specialized time-series database designed for high-ingest workloads, alongside the open-source server agent Telegraf and the data visualization platform Grafana.¹³ The company relies on this integrated stack to monitor the operational health and performance of 78 global Nasuni filers in real-time.¹³ Furthermore, the company leverages InfluxDB as the underlying database for its enterprise VEEAM backup reporting systems, establishing automated alerting protocols that notify IT administrators immediately if a critical data backup fails more than three times within a 24-hour period.¹³

The deployment of this telemetry stack extends deeply into the company's advanced engineering functions. The company streams massive volumes of synthetic-aperture radar (SAR) data directly from its High-Performance Computing (HPC) Engineering servers into InfluxDB to monitor the computational performance of these critical research environments.¹³ Additionally, the IT organization uses the stack to monitor the performance of its core Oracle databases, detecting system slowdowns and displaying real-time operational health metrics through customized Grafana dashboards.¹³ The company's infrastructure specialists manage storage costs efficiently by leveraging InfluxDB's data retention policies, routinely archiving or discarding telemetry data older than one year based on its ongoing usefulness.¹³

Assessment:

The evidence supports the scaled internal deployment of advanced cloud infrastructure, distributed edge file systems, and high-fidelity time-series telemetry. The company is aggressively buying and integrating enterprise-grade vendor platforms (Nasuni, AWS, InfluxDB, VEEAM, Grafana) to solve the profound operational problem of managing, securing, and observing unstructured data across dozens of global manufacturing facilities. This capability is

applied deep within the IT and Data business area, providing essential observability into mission-critical HPC engineering environments, enterprise backup routines, and core database health. The architectural shift from localized hardware servers to AWS-backed cloud storage reflects a modern, mature digital strategy aimed at reducing technical debt and enhancing operational agility. The uploaded hiring data concerning AWS and Python aligns perfectly with the technical skills required to maintain, query, and optimize this extensive cloud and telemetry pipeline.

Agile Shopfloor Execution and Connected Workforce Digitization

Uploaded-document evidence: The uploaded hiring dataset shows exactly one AI-core job posting situated within the Manufacturing Operations business area, which focuses on utilizing machine learning models and statistical methods to enhance business processes, improve product quality, and reduce operational costs.¹ The 2025 Annual Report confirms the strategic acquisition of Dowlais Group plc, bringing the GKN Powder Metallurgy division—a major global operator of advanced metal additive manufacturing and conventional sintering facilities—into the company's portfolio.¹

Public-source evidence: Public vendor evidence detailing operations at GKN Powder Metallurgy (now a subsidiary of Dauch Corporation) demonstrates the scaled deployment of sophisticated digital shopfloor execution and connected workforce software. To transition from a rigid, reactive operating model to a highly agile, data-driven manufacturing environment, the GKN division partnered with Workerbase, a Munich-based software provider specializing in agile production systems.¹⁵

The Workerbase platform serves as an intelligent, real-time execution layer that bridges the gap between high-level enterprise systems—such as SAP (Enterprise Resource Planning) and SCADA/Manufacturing Execution Systems (MES)—and the physical factory floor.¹⁶ Historically, metal processing and sintering operations involved numerous manual work steps, paper-based tracking, and unplanned machine interruptions that were difficult to manage efficiently.¹⁹

Through the deployment of Workerbase, over 80 percent of all manual work processes at the integrated facilities are now managed digitally.¹⁸

Operationally, the software functions by routing necessary tasks, machine alerts, and digital work instructions in real-time to operators via mobile devices or industrial smartwatches.¹⁸ The system dynamically assigns work orders based on the specific context of the factory floor, the immediate availability of the operator, and the individual employee's verified skill set.¹⁸ The platform enforces digital instructions directly at the workstation, ensuring that specific assembly or setup steps are verified and confirmed before the production line is permitted to advance.¹⁶ Furthermore, when machine interruptions occur, the software automatically captures the downtime duration and reason codes, logging this data directly into SAP without requiring operators to perform manual, end-of-shift data entry.¹⁶

Paul Mairl, the Chief Digital Officer at GKN Powder Metallurgy, states that the platform makes the entire shopfloor more dynamic and agile, allowing operators to receive the right information at the exact right time.¹⁸ This real-time data delivery enables operators to make immediate decisions on the floor, keeping machine interruptions exceptionally short and preventing small

issues from escalating into major production delays.¹⁸

Assessment:

The evidence supports the scaled, vendor-supported operational deployment of a connected worker and digital shopfloor execution platform within the acquired GKN operations. This capability is applied directly in the manufacturing operations business area to solve the pervasive engineering and operational problems of unplanned machine downtime, rigid labor allocation, and siloed, paper-based factory data. By integrating real-time mobile task routing with legacy SAP systems, the company achieves measurable improvements in manufacturing agility, workforce utilization, and machine setup efficiency, directly contributing to increases in Overall Equipment Effectiveness (OEE). The presence of a dedicated Chief Digital Officer overseeing this rollout indicates strong executive sponsorship and internal ownership of the digital transformation strategy within the powder metallurgy division.

Machine Learning for Predictive Manufacturing Quality and Adaptive Compaction

Uploaded-document evidence: The uploaded hiring dataset identifies hiring intent within the Manufacturing Operations business area for professionals capable of applying machine learning models—specifically highlighting XGBoost, Natural Language Processing (NLP), and time series analysis—to improve product quality and reduce operational costs.¹ The 2025 Annual Report emphasizes the company's commitment to rigorous quality standards, highlighting its

internal ^Q⁴ (Q-to-the-fourth) quality assurance system, which drives continuous improvement and has resulted in multiple global supplier quality awards from OEMs like General Motors and Ford.¹

Public-source evidence: Official technology pages and academic publications involving GKN Powder Metallurgy detail an advanced research, engineering, and operational project known as "RobuSinter".²² Supported in part by the European Regional Development Fund and conducted in collaboration with the Free University of Bozen-Bolzano, the RobuSinter initiative was established to optimize the robustness of the metal compaction and sintering process through the application of adaptive manufacturing techniques.²²

Operationally, the RobuSinter project integrates physical manufacturing models with supervised machine learning algorithms to predict final product quality in real-time during the manufacturing process.²² Powder metallurgy and metal forging involve extreme pressure, and microscopic defects can compromise the structural integrity of the final component. To address this, the system extracts high-fidelity sensory data—specifically force signals—directly from the hydraulic presses used to compact the metal powder.²⁴

Using this sensory data, data scientists and engineers developed and validated various ensemble machine learning classifiers, including Random Forest, AdaBoost, Bagging, Gradient Boosting, and Extra Trees.²⁴ The system utilizes the Pearson correlation coefficient to identify the feature vectors having the largest impact on workpiece quality.²³ These algorithms analyze the force signal features to classify the compacted samples, accurately differentiating between samples that contain microscopic structural cracks and those that do not, without requiring

destructive physical testing.²⁴ By predicting quality deviations instantly during the compaction phase, the company aims to implement adaptive control mechanisms that can dynamically adjust the machinery, thereby reducing scrap rates, lowering material waste, and ensuring high-volume manufacturing consistency.²²

Assessment:

The evidence supports the pilot and partial operational deployment of machine learning for predictive quality inspection and adaptive process control. Developed primarily within the highly specialized GKN Powder Metallurgy division, this capability solves a core industrial engineering problem: detecting microscopic defects and ensuring structural integrity in high-volume metal forging efficiently. The integration of hydraulic press force signal data with advanced ensemble classifiers demonstrates a highly mature, sophisticated understanding of the Industrial Internet of Things (IIoT) and predictive statistical modeling. The uploaded hiring signals seeking expertise in XGBoost and time series analysis for manufacturing operations strongly align with the exact techniques utilized in the RobuSinter project, suggesting ongoing capability building, refinement, and maintenance of this internal machine learning architecture.

Embedded Software Engineering for Electric Vehicle Powertrains

Uploaded-document evidence: The 2025 Annual Report states that the company's strategic investment in research and development focuses heavily on advanced technology products, specifically highlighting vehicle electrification, advanced electronic controls, heat management, systems integration, and highly integrated inverters for its e-Beam axles.¹ The financial report explicitly positions the company as a supplier of powertrain-agnostic products, actively navigating the automotive industry's aggressive shift toward electric and hybrid vehicles to secure long-term profitable growth.¹

Public-source evidence: Prior to its 2026 acquisition by Dauch Corporation, GKN Automotive established a highly specialized global e-mobility software engineering centre located in Bengaluru, India.²⁶ Recognizing the critical shift from mechanical hardware to software-defined vehicles, GKN partnered with Tata Technologies—a premier global engineering and digital services company—to build and staff this advanced facility.²⁶

The Bengaluru engineering centre was purpose-built to accelerate the global development of embedded software for next-generation electric drive technologies.²⁶ The facility focuses on developing end-to-end powertrain software, including the complex programming required to operate actuator modules, electric motors, sensory arrays, and highly critical ASIL-D (Automotive Safety Integrity Level D) microcontrollers.²⁸ The embedded software engineered at this facility features open interfaces, which are designed to allow for rapid, seamless integration into the specific, proprietary electronic architectures of various global OEMs.²⁸

The physical centre spans over 12,650 square feet and houses a dedicated design studio, comprehensive lab stations, and testing equipment that ensures the software functions are accurately implemented and validated against the physical hardware components.²⁸ By the end of 2020, following a rapid six-month deployment despite pandemic-related delays, the facility was projected to house over 100 world-class software engineers and support staff.²⁸

Assessment:

The evidence supports the scaled internal development and production deployment of embedded software for electric vehicle powertrains. The company (via its acquisition of the GKN divisions) recognized a critical strategic necessity in its transition from a traditional mechanical hardware supplier to a provider of advanced mechatronic systems. To solve the engineering challenge of sourcing scarce software talent, it partnered with Tata Technologies to establish a robust offshore software engineering pipeline. This capability is applied centrally within the core product development and R&D business areas. The engineering and integration of ASIL-D compliant software with physical e-drive inverters and motors is absolute table stakes for commercial deployment in modern electric vehicles. This capability represents a massive shift in the company's engineering identity, effectively transforming a legacy metal forming enterprise into a tier-1 software-defined automotive component supplier.

Enterprise Artificial Intelligence Infrastructure, Generative AI, and Agentic Systems

Uploaded-document evidence: The uploaded hiring dataset reveals that the company is actively staffing roles to build MLOps (Machine Learning Operations) and LLMOps (Large Language Model Operations) platforms designed to support manufacturing, supply chain, and corporate functions.¹ The dataset indicates a strategic focus on establishing an overarching AI roadmap, implementing "Responsible AI" governance protocols, and developing AI-focused cybersecurity practices.¹ The hiring data specifically records one AI-core posting explicitly seeking skills in LLM and GenAI applications.¹ The 2025 Annual Report notes that the company is actively assessing how artificial intelligence can complement its existing operations and business practices while explicitly acknowledging the necessity of managing the novel cybersecurity risks presented by these emerging technologies.¹

Public-source evidence: Public evidence regarding the company's internal use or deployment of Generative AI (GenAI) is highly limited. An architectural and engineering partner of the company, SSOE Group, reports utilizing Generative AI tools while providing global program management services to the company.³¹ Specifically, SSOE Group utilizes Microsoft Copilot (including M365 and Edge integrations) and GitHub Copilot to accelerate workflows, generate and refine code using natural language processing (NLP) prompts, and automate complex tasks such as modeling elements and cleaning up parameter data within Revit architectural models.³¹ However, this constitutes vendor-mediated use by an external engineering contractor, not an internal deployment by Dauch Corporation's own IT workforce.

Assessment:

The evidence supports capability building and early-stage exploration for Enterprise AI infrastructure, MLOps, and Generative AI. Based on the hiring signals and the explicit acknowledgment of AI risk assessment in the 2025 SEC filings, the company's IT and Data organization appears to be currently focused on establishing the secure foundational architecture—such as cloud environments, data pipelines, and governance policies—required before scaling internally owned AI models. The hiring mention of "LLMOps" confirms an organizational intent to explore Large Language Models, but the complete lack of public case studies, product launches, or vendor announcements indicates that these efforts have not yet

reached production deployment. The company currently benefits from GenAI indirectly through the productivity gains of its design and engineering partners like SSOE Group.

No direct public evidence found for GenAI, RAG, or agentic systems beyond the uploaded hiring signals.

SECTION 3 — Talent, teams, and operating model

Uploaded-document evidence: The uploaded hiring dataset provides a quantifiable, albeit narrow, glimpse into the company's artificial intelligence and data talent acquisition efforts. Out of 2,629 observed job postings in the dataset, only 5 are classified as AI-core postings, with an additional 9 classified as AI-adjacent.¹ The volume of AI hiring remains exceptionally low as a percentage of total hiring, peaking at just 1.0 percent of total job postings in 2022 and hovering consistently between 0.1 percent and 0.3 percent from 2023 to 2026.¹

Geographically, the vast majority of the company's overall hiring occurs in the United States (1,486 postings) and Mexico (501 postings), a distribution that directly aligns with the company's heavy manufacturing and operational footprint in North America.¹ Germany (304 postings) and Brazil (156 postings) also represent significant hiring hubs for the broader enterprise.¹ However, all 5 of the specifically identified AI-core postings are located within the United States.¹

Organizationally, the AI-core hiring is heavily concentrated. Four of the five postings are situated within the IT and Data business area, specifically targeting AI/ML modeling and Business Intelligence (BI) Analytics.¹ Only one AI-core posting is located in the Manufacturing Operations business area.¹ The uploaded hiring dataset does not show evidence of AI-core hiring in Supply Chain, Sales, Marketing, Customer Offerings, Materials Research, or Corporate Functions.¹

Regarding seniority, the AI talent sought is highly experienced, with four postings targeting mid-level roles and one targeting a senior-level role.¹ The 2025 Annual Report confirms a global workforce of approximately 18,000 associates, indicating that the 5 AI-core postings represent a minute fraction of the overall human capital footprint.¹

Public-source evidence:

Public evidence clarifies the company's actual operating model regarding technology, software, and digital systems, which differs significantly from a traditional in-house software development model. Rather than attempting to build a massive internal workforce of AI engineers, data scientists, and proprietary software developers from the ground up in the United States, the company aggressively relies on specialized third-party vendors, strategic partnerships, and acquisitions to secure its digital capabilities.

In the realm of mechanical engineering and product design, the company partners with Neural Concept rather than building a proprietary 3D deep learning AI internally.⁶ In the supply chain function, it relies on the SaaS provider aThingz for AI-driven logistics planning and cost-to-serve calculations.⁹ For shopfloor connectivity and manufacturing digitization, the GKN division licenses the Workerbase platform rather than coding a bespoke Manufacturing Execution System interface.¹⁸ For IT infrastructure, the company outsources its cloud storage requirements to AWS and Nasuni, and utilizes mature, off-the-shelf observability tools like InfluxDB and Grafana.¹³

Crucially, when deep internal software engineering is strictly required—specifically for the

embedded software necessary to operate e-mobility powertrains—the company did not attempt to hire hundreds of developers at its Detroit headquarters. Instead, the GKN Automotive division partnered with Tata Technologies to establish a dedicated offshore software engineering centre in Bengaluru, India, rapidly scaling the facility to over 100 specialized engineers.²⁶ Furthermore, the company's IT leadership structure, governed by a Chief Information Officer (CIO) and a Chief Information Security Officer (CISO), emphasizes the rigorous management of third-party vendor risk, cloud security, and cybersecurity governance over the management of internal software development teams.³²

Assessment:

The combined evidence reveals a highly pragmatic, hybrid operating model that relies overwhelmingly on vendor-supported platform deployments and strategic offshore partnerships rather than organic, internal capability building in North America. The uploaded hiring dataset's finding of only 5 AI-core postings is not an anomaly or a lack of digitalization; it is a direct reflection of a deliberate corporate strategy that prefers to buy mature Software-as-a-Service (SaaS) and AI platforms rather than build them.

The company is adding internal AI and data capability very selectively, almost entirely within the US-based IT and Data function. These internal roles, characterized as mid-to-senior level, suggest they are likely systems architects, data governance leads, or MLOps engineers tasked with integrating, securing, and managing the sprawling ecosystem of third-party AI vendors (such as aThingz, Neural Concept, and InfluxDB), rather than writing raw algorithms from scratch.

Geographically, the company actively bifurcates its talent and operational footprint. Core mechanical manufacturing, metal forging, and legacy operational management remain heavily centered in North America (the US and Mexico). However, high-volume software engineering for next-generation electric vehicle powertrains is strategically offshored to specialized tech hubs in India (Bengaluru) through the Tata Technologies partnership. Meanwhile, Europe (specifically Germany) serves as a hub for advanced manufacturing research, as evidenced by the RobuSinter predictive quality project and the Workerbase shopfloor deployment within the GKN divisions. This operating model allows the company to rapidly digitize its supply chain and transition to e-mobility without inflating its internal corporate headcount with expensive, difficult-to-retain AI software developers in the highly competitive US market.

SECTION 4 — What the evidence implies for investment priorities and competitor monitoring

Priority 1: Vendor-Mediated Digitalization of Core Manufacturing and Logistics Operations

The evidence demonstrates that Dauch Corporation's primary technological investment priority is the rapid digitalization of its supply chain, engineering, and manufacturing operations through the acquisition and integration of mature, third-party software platforms. The company is actively integrating the DAKSA AI platform from aThingz to synchronize global logistics, manage master data, and dynamically calculate cost-to-serve.⁹ In product engineering, it utilizes the Neural Concept platform to automate 3D CAD modeling parameters and accelerate the design of electric drives.⁶ On the factory floor, the GKN division relies on the Workerbase platform to

digitize manual workflows, deliver real-time instructions to mobile devices, and optimize machine setup times.¹⁸

The company's objective is to achieve immediate operational efficiency, reduce the time-to-market for new engineering designs, and gain real-time, granular visibility into logistics spend without undertaking the slow, high-risk process of developing proprietary enterprise software. It is known that these systems are operationally deployed and have executive-level sponsorship, as evidenced by the involvement of the Global Director of Supply Chain Management and the Chief Digital Officer of the GKN division. What remains uncertain is the degree of seamless interoperability between these disparate, highly specialized vendor platforms, especially following the 2026 merger of the legacy Dauch and Dowlais IT ecosystems.

Competitors should recognize that Dauch Corporation is executing an aggressive, fast-follower "buy-and-integrate" strategy. Competitors attempting to build proprietary AI logistics engines or in-house 3D predictive modeling tools may face severe time-to-market disadvantages compared to Dauch's ability to rapidly deploy specialized SaaS solutions. If Dauch successfully unifies these vendor platforms, it will achieve a highly agile operational posture capable of dynamically responding to supply chain shocks and shifting OEM production demands much faster than peers burdened by legacy, paper-based, or siloed ERP systems.

Priority 2: Transitioning from Mechanical Hardware to Software-Defined Powertrains

A critical, high-intensity investment priority is the development of embedded software for electric and hybrid vehicles. Through the acquisition of GKN Automotive, the company has internalized a massive embedded software capability, spearheaded by the Bengaluru software engineering centre developed in partnership with Tata Technologies.²⁶ The company is actively building the code required to operate ASIL-D microcontrollers, actuators, sensor arrays, and highly integrated inverters for its e-drives and e-Beam axles.¹

The strategic goal is to remain commercially relevant in an automotive industry that is rapidly abandoning pure internal combustion mechanical components in favor of complex, software-defined electric vehicles. The company seeks to offer OEMs complete, powertrain-agnostic systems where the mechanical hardware and the control software are seamlessly integrated. It is known that the Bengaluru center houses over 100 engineers and that the company invests heavily in R&D for electrification, reporting \$147 million in R&D expenses in 2025.¹ What remains uncertain is the long-term financial impact of fluctuating EV consumer demand and shifting OEM production schedules, as evidenced by the \$20 million write-off resulting from a canceled EV contract.¹

This implies that traditional mechanical competitors who fail to develop corresponding embedded software capabilities will likely be relegated to low-margin hardware commoditization. Dauch's integration of Tata Technologies' software talent allows it to quote for complex, high-margin mechatronic systems that competitors lacking ASIL-D software certification and embedded coding expertise simply cannot match.

Priority 3: Modernization of Cloud Infrastructure and High-Fidelity Telemetry

The evidence indicates a highly focused investment in deprecating legacy on-premise IT infrastructure in favor of scalable cloud storage and real-time system observability. The

company has migrated away from local Windows file servers, replacing them with Nasuni edge appliances that seamlessly replicate unstructured data to AWS S3 cloud storage.¹³

Concurrently, it has deployed a robust telemetry stack utilizing InfluxDB, Telegraf, and Grafana to monitor everything from NAS filers and Oracle databases to High-Performance Computing (HPC) engineering servers generating massive volumes of SAR data.¹³

The company aims to reduce hardware procurement costs, lower software licensing overhead, and free up internal IT resources to focus on core manufacturing and cybersecurity priorities. The establishment of MLOps and LLMOps frameworks, as indicated in the hiring data, relies entirely on this modernized, AWS-backed cloud foundation.¹ It is known that this telemetry stack handles massive data ingestion efficiently and features automated alerting for critical failures, such as VEEAM backup disruptions.¹³ What remains uncertain is how the \$100 million to \$125 million in projected 2026 integration costs will be specifically allocated to merge the legacy American Axle cloud infrastructure with the massive Dowlais/GKN network.¹

Competitors still burdened by heavy, decentralized on-premise data centers may suffer from higher structural IT costs and significantly slower deployment times for data-heavy AI applications. Dauch's modernized cloud and telemetry pipeline provides the necessary data liquidity and system stability to rapidly scale AI vendor solutions across its global footprint without risking catastrophic network failures.

Priority 4: Predictive Quality and Yield Optimization in Metal Forming

Within its materials and metal forming divisions, the company prioritizes the use of machine learning to reduce scrap, minimize material waste, and ensure product quality without destructive testing. The RobuSinter project within GKN Powder Metallurgy applies ensemble machine learning classifiers—such as Random Forest, Gradient Boosting, and Extra Trees—to analyze force signals from hydraulic presses, accurately predicting microscopic cracks and defects during the compaction process.²⁴ The uploaded hiring dataset corroborates this internal capability building with targeted hiring for XGBoost and NLP skills specifically within manufacturing operations.¹

The objective is to implement adaptive control systems that can adjust heavy machinery in real-time, preventing structural defects before the energy-intensive sintering process is complete.²² It is known that the algorithm has been successfully developed, validated on real-world hydraulic press data, and supported by European academic partnerships.²³ What remains uncertain is the current scale of deployment—specifically, whether this adaptive machine learning control is active across all global powder metallurgy facilities or isolated to specific advanced manufacturing lines in Europe.

Competitors in the forging, casting, and powder metallurgy sectors should monitor this capability closely. If Dauch can scale these predictive quality controls globally across the newly combined enterprise, it will achieve structurally lower scrap rates, lower energy consumption per good unit produced, and higher operating margins than competitors that continue to rely on traditional, post-process destructive testing or manual quality inspections.

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